

20. PROPERTY LAW

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

A.y. 2024/2025

Prof. Pietro Sirena



WHAT IS PROPERTY LAW?

The owner of a car who sells it has a **right against the buyer** of the car to be paid the price for which the car was sold

The owner of a car that has been unlawfully damaged by someone else has a **right against the tortfeasor** to be compensated

Finally, the owner of a car has **a right to the car itself**

This last right is different from the first two. It is not a right against a specific person such as the other party to the contract or the tortfeasor; it is a right on a tangible object (*in rem*), valid against the rest of the world (*erga omnes*)



WHY PROPERTY LAW? AN ECONOMIC VIEW

**Hardin, The Tragedy of the Commons,
Science (1968)**

Common goods:

1. **Rivalrous** in consumption: their use by one consumer prevents simultaneous consumption by other consumers
2. **Non-Excludable**: it is not possible to prevent people who have not paid for them from having access to them



WHY PROPERTY LAW? AN ECONOMIC VIEW

Hardin, *The Tragedy of the Commons*, *Science* (1968)

Experiment: grazing cows in a free-access parcel of land (*Common*)

- Every herder can take his cattle to the field
- Constant and repeated use of land spoils it and prevents its future use
- Free access gives no incentive to any user to protect this future value, although its protection is socially desirable

Tragedy of the commons indicates the inefficient outcome determined by the overuse of (partially) rival resources when freely accessible to every individual in each given moment

WHY PROPERTY LAW?

Legal rules for the allocation among individuals of exclusive rights of use and disposal of resources

Incentive to work

Incentive to maintain and improve things

Avoidance of disputes and of efforts to protect things

Property rights and the market economy

- Property and contracts as the basis for voluntary exchange of goods between individuals

PROPERTY INTERESTS

Property law as the field of absolute rights

Property rights are valid *erga omnes* (as opposed to mere relative rights)

Basic features of property rights:

- The right-holder is assigned an exclusive right to her objects
- The right-holder can exclude anyone from interfering with her peaceful enjoyment
- The right-holder is given a specific recovery action for her goods
- Anyone wishing to deprive the holder of the right must buy it from her in a voluntary transaction

OBJECTS OF PROPERTY

Property Law as the Law of Things

Property rights as rights *in rem*: regulate how individuals can use and dispose of things/goods

Objects of Property Rights  **Things / Goods**

What is the legal scope of this notion?

Movable / Immovable Goods

Tangible / Intangible Goods



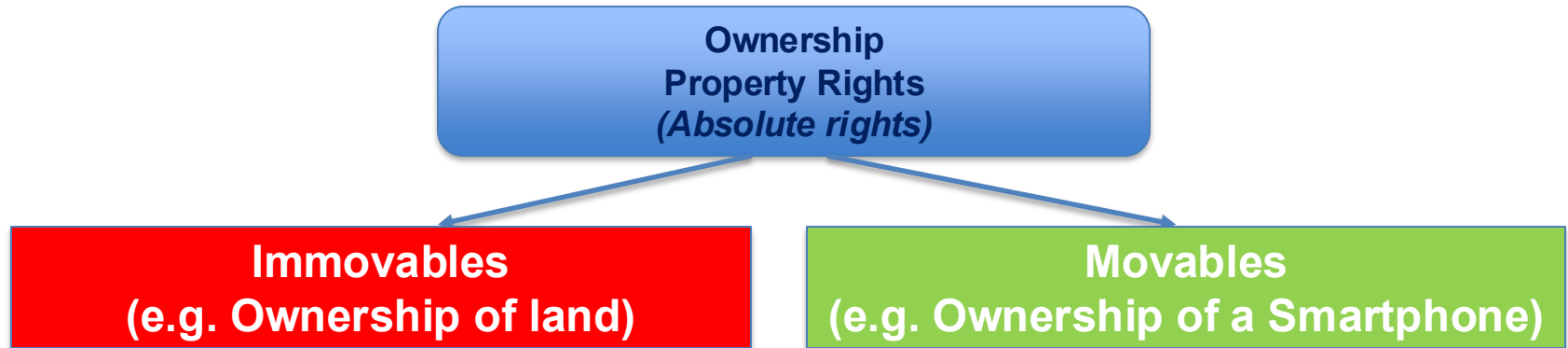
MOVABLE / IMMOVABLE GOODS

Movable property is any property that can be moved from one place to another without being altered

Immovable is any property that cannot be moved from one place to another without being destroyed or altered

- **Civil Law tradition:** Unified field of property law
 - *Based on the absolute right of **ownership***
- **Common Law tradition:** Two separate branches of law
 - *Land Law (Real Property): immovables*
 - *Personal Property: movables*

Unitary system of property, covering all types of assets.
Both movable and immovable things represent the potential objects of the absolute right of ownership



With different rules on circulation, publicity, security rights, etc.



CIVIL LAW

Ownership as the primary property right over goods

Full-fledged power over goods: unless the law provides otherwise, an owner is free to do as he pleases. The law does not tell the owner what he *can* do with the “thing”, but it does specify what he must or must not do

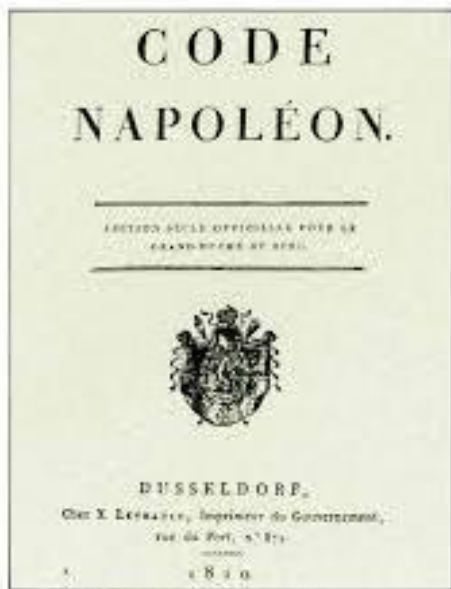
Exclusive power over goods: the owner of the “thing” has an absolute right, i.e. a claim against any other person not to interfere with the enjoyment of the “thing” granted to him



OWNERSHIP – ART. 544 *CODE CIVIL*

Propriété

Ch 4 para 3.1.1. (on the history of the *Code civil*)



Art. 544 of the French *Code civil*
Ownership is the right to enjoy and dispose of things **in the most absolute manner**, provided they are not used in a way prohibited by statutes or regulations

OWNERSHIP – § 903 BGB

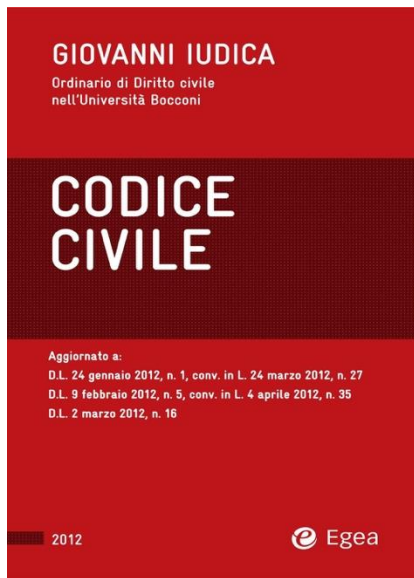
Eigentum



Section 903 BGB (German Civil Code)
The owner of a thing may, to the extent that a statute or third-party rights do not conflict with this, deal with the thing **at his discretion** and **exclude** others from every influence

ITALIAN CIVIL CODE – ART. 832 C.C.

Proprietà



Art. 832 of the Italian Civil Code
The owner has the right to enjoy and dispose of things **fully** and **exclusively**, within the limits of and observing the obligations established by law

CIVIL LAW TRADITION: OWNERSHIP

DCFR - VIII. – 1:202

“Ownership” is the most comprehensive right that a person, the “owner”, can have over property, including the exclusive right, to the extent consistent with applicable law or rights granted by the owner, to use, enjoy, modify, destroy, dispose of, and recover the property

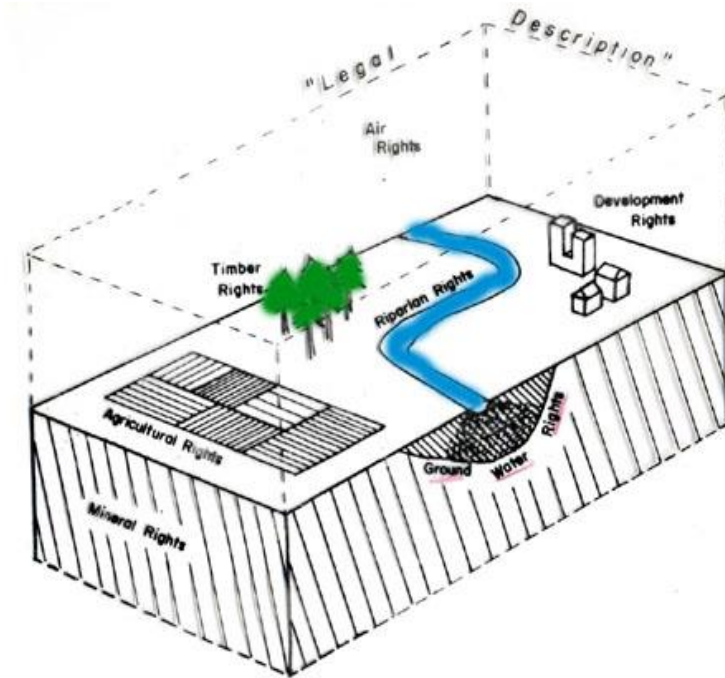


Figure 1. The Geography of Legal Rights in Land: Elements of Property Ownership

The enduring influence of the feudal tradition, based on interpersonal relationships between landlords and vassals in relation to land, has had a tremendous impact on the evolution of the common law, preventing the emergence of a unitary/unified property regime encompassing different categories of assets

Land Law (Real Property)

Absolute rights of individuals over immovables

Based on the fictitious presumption that the Crown is the residual owner of all the land

Personal Property

Absolute rights over movables (*chattels*)

Mainly developed in different areas of law (tort law, commercial law, intellectual property law)

LAND LAW: DOCTRINE OF ESTATES

NO FORMAL RIGHT OF OWNERSHIP



Under the rules of common law, the Crown is still regarded as the owner of all land; all others hold land in tenure.

In the feudal system of land tenure, the king could originally determine the content of the right granted to others in return for services.

These property rights in land, held for different periods of time, were called **ESTATES in land**.

LAND LAW: DOCTRINE OF ESTATES



Property Act (1925)

Modernization of English land law

To limit and standardize the property rights available in land.

Under common law, there are only two types of (feudal) rights in land:

1. **Fee Simple:** entitles the holder to exclusive possession for an unlimited period of time (functionally similar to civil law *ownership*)
2. **Term of Years:** gives exclusive someone else exclusive possession for a limited period of time



PERSONAL PROPERTY



Personal property law applies to:

1. Movable goods (*chattels*)
2. Choses in action (among others: claims, credits, shares, etc.)

In personal property law, the primary right is called “**title**”

Title is the right of exclusive possession to a chattel. It is the most extensive entitlement to a chattel a person can have

INTANGIBLE GOODS

Property law (in particular in civil law tradition) formally refers to tangible goods

E.g. – German Civil Code



Section 90 BGB – Concept of thing

Only corporeal objects are things as defined by law.

INTELLECTUAL PROPERTY LAW

Ch 10 para 4.2.2.

Intellectual Property law is generally regarded as an autonomous area of law that regulates the exclusive rights to use and dispose of intangible resources

Copyright Law: Exclusive rights of use and distribution of an original work of art, granted to its creator

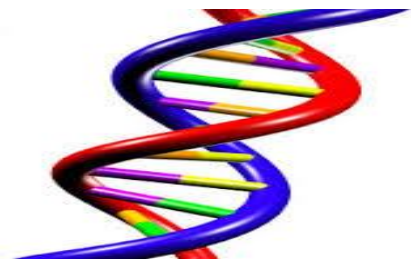
Patent Law: Exclusive rights to use and distribute a novel invention, granted to its inventor

Trademark Law: Exclusive rights to recognizable signs, designs, or expressions that identify products, granted to entrepreneurs and companies

... Evolutionary approach...



PROPERTY OVER INTANGIBLES



Myriad Genetics was founded in 1994 as a start-up company by scientists involved in the search for the BRCA genes (DNA sequences associated with certain types of cancer).

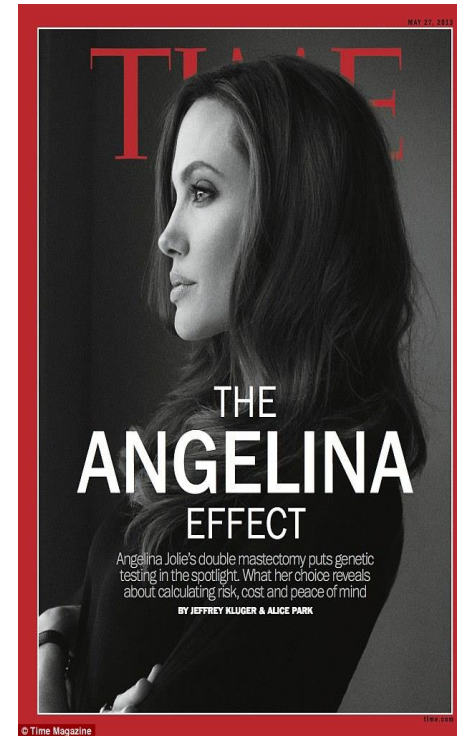
In August 1994, Myriad isolated the BRCA1 sequence and patented it in the US. The following year, in collaboration with the University of Utah, Myriad isolated and sequenced the BRCA2 gene, and the first BRCA2 patent was filed in the US.

In 1996 Myriad launched its BRACAnalysis product, which detects certain mutations in the BRCA1 and BRCA2 genes that put women at high risk of breast cancer and ovarian cancer.

PROPERTY OVER INTANGIBLES

Since 1996, Myriad's business model has been exclusively to provide diagnostic testing services for the BRCA genes.

In 2012, Myriad – which was founded in 1994 - employed around 1,200 people, had revenues of around \$500 million and was a publicly traded company.

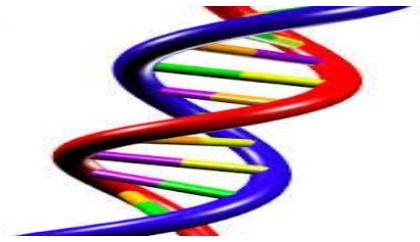


In 2010 the [Association for Molecular Pathology](#) challenged the validity of gene patents in the United States: **is it possible to have private property on human DNA?**

DO WE «OWN» OUR BODY?

Association for Molecular Pathology v. Myriad Genetics

Patentability requirements: **novelty**, usefulness, and **non-obviousness**



Genes are “products of nature” that may not be patented, since they are not artificial invention

The isolation of BRCA sequence is a “human-made invention” eligible for patent protection

On 13 June 2013, in a unanimous decision, the Supreme Court invalidated Myriad's claims to isolated genes. The Court held that the mere isolation of genes found in nature does not make them patentable